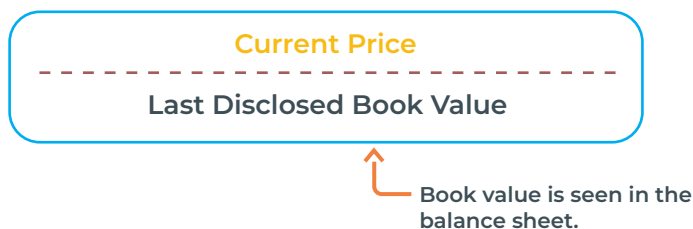


2 Price / Book



A Company generates sales every year and also incurs expenditures such as daily expenses taxes and interests expenses which are subtracted from sales, we finally get the net profit.

Net Profit can be used in two ways:

- o It can be dispersed to the shareholders as dividends.
- o It can be retained to reinvest in the expansion of the business.
 - The same profit will be added to Retained earnings i.e Equity.
 - As money was not distributed as dividends, the money belongs to the shareholders. This is used by the company in their day to day activity.
 - The book value of the net worth of equity represents the total amount of money invested in the company to date.



IBM

The idea is to identify the total capital used from equity shareholders and against that what is the value that has been created. Company's ability to generate above par return on equity also.

Companies that generate above par return on equity and have high quality earnings and require relatively less capital to grow, get a premium and therefore quote at high price/book value. We need to analyze if it's high quality or just expensive.